

3.2.4 International trade and the global economy

Students look at why countries trade and the importance of international trade to the UK. The measurement of UK trade through the balance of trade is examined, as are the causes of current account surpluses and deficits within the overall balance of payments. Students consider how exchange rates are determined as well as the impact that changes in exchange rates have on producers and consumers. Students also explore the advantages of free-trade agreements, their impact and the significance of the European Union. The benefits and drawbacks of globalisation will be looked at, including the moral and ethical aspects associated with the increase in global trade, and the role of the multinational corporations.

3.2.4.1 Why countries trade and the importance of international trade to the UK

Content	Additional information
• Benefits of trade to countries • UK's exports and imports	Students should be able to understand: • the importance of trade to economies • the main types of exports from, and imports to, the UK economy • the advantages of trade and the consequences of global interdependence to the UK economy.

3.2.4.2 Exchange rates

Content	Additional information
• How exchange rates are determined • The effects of changes in the exchange rate on consumers and producers	Students should be able to understand how exchange rates are determined through the interaction of demand and supply.

3.2.4.3 Free-trade agreements including the European Union

Content	Additional information
• Free-trade • Free-trade agreements such as the EU	Students should be able to understand: • the arguments for and against free-trade • the significance and benefits of free-trade agreements, such as the EU.

3.2.4.4 Globalisation: benefits and drawbacks

Content	Additional information
• Main features of globalisation • Benefits and drawbacks of globalisation to producers, workers and consumers in developed countries • Benefits and drawbacks of globalisation to producers, workers and consumers in less developed countries • Moral, ethical and sustainability considerations	Students should be able to understand: • the factors that have contributed to the growth of globalisation, including new technology and the operations of multinational companies • the benefits and drawbacks of globalisation to producers, workers and consumers in the UK • that there are moral, ethical and sustainability considerations when UK producers trade with other countries.